

Kaduna Agro Processing Limited

Annual Report and Financial Statements

For the year ended 31 December 2024 | RC 1284477 | Registered office: Kilometre 12, Kaduna-Zaria Road, Kaduna State

Chairman's statement

The year under review was the most demanding in the Company's history and also the most rewarding. The removal of the fuel subsidy in mid-2023 and the subsequent adjustment in the exchange rate regime raised our inbound haulage costs sharply and compressed margins through the first half. By the third quarter the pass-through of cost into pricing had largely completed, and the Company closed the year ahead of the Board's expectations.

Our strategy remains unchanged: process what Nigeria grows, close to where it grows it. The commissioning of the Zaria second line in April brought total installed capacity to 340,000 tonnes per annum. The Ogbomoso facility, delayed by land title matters now resolved, is expected to commission in the second half of 2025.

Managing Director's review of operations

Throughput across all facilities reached 271,400 tonnes, representing utilisation of 79.8 per cent against installed capacity. This compares with 68.1 per cent in the prior year. The improvement is attributable principally to reduced unplanned downtime at Kaduna following the completion of the boiler replacement programme, and to improved raw material availability in the North West following a better than average harvest.

Distribution remains our principal constraint. The Company operated 46 collection and distribution points at year end, of which 11 were opened during the year. Utilisation across the network is uneven, and the Board has approved a review of the seven lowest-performing locations with a view to consolidation in 2025.

Energy costs represented 31 per cent of cost of sales, up from 24 per cent. The Company has commissioned a feasibility study into captive gas generation at the Kaduna site.

Financial review

Revenue for the year rose substantially against the prior year, driven by both volume growth and price realisation. Gross margin recovered in the second half after a weak first quarter. Finance costs increased materially following the drawdown of the Zaria expansion facility. The Directors do not recommend a dividend for the year, preferring to retain earnings to fund the Ogbomoso commissioning.

The Company remains in compliance with all covenants under its term facility with its principal lender. Trade receivable days extended from 41 to 58, reflecting longer terms extended to distributors during the first-half pricing transition. A programme to recover this position is underway.

Six-year performance

The chart below sets out revenue and gross margin for the six years to 31 December 2024.

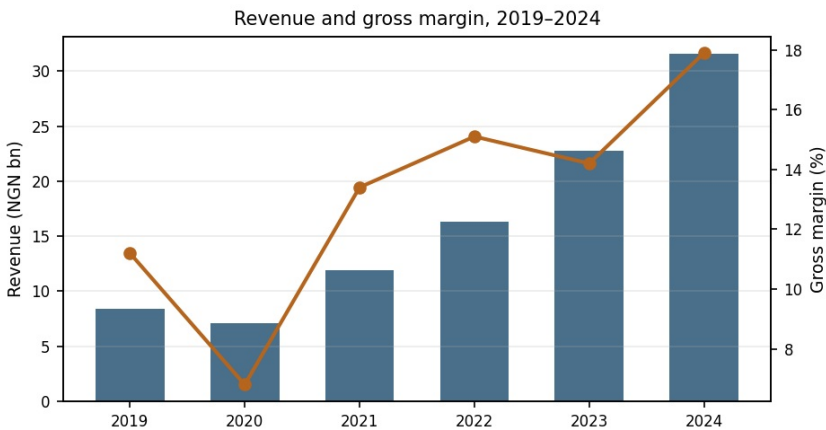


Figure 1 — Revenue (NGN billion, bars, left axis) and gross margin (per cent, line, right axis), 2019-2024.

Distribution network by location

The following table sets out throughput, revenue and capacity utilisation for each collection and distribution point in operation at 31 December 2024.

State	Local Government Area	Volume (tonnes)	Revenue (NGN m)	Utilisation
Lagos	Ikeja	31,447	18,380.5	95%
Lagos	Apapa	32,316	16,347.0	95%
Lagos	Ikorodu	40,294	18,377.3	92%
Lagos	Badagry	35,348	18,041.4	80%
Ogun	Abeokuta	14,001	6,130.8	60%
Ogun	Sagamu	11,092	4,849.7	92%

Ogun	Ijebu-Ode	43,379	18,564.4	66%
Oyo	Ibadan North	31,487	17,136.7	80%
Oyo	Ogbomosho	44,403	19,978.0	41%
Oyo	Oyo Town	36,427	15,736.5	43%
Kaduna	Kaduna South	14,265	8,375.2	79%
Kaduna	Zaria	3,771	2,141.3	61%
Kaduna	Kafanchan	30,670	16,325.1	53%
Kano	Kano Municipal	35,821	16,635.0	59%
Kano	Dala	34,553	14,542.4	46%
Kano	Wudil	31,771	17,296.5	67%
Rivers	Port Harcourt	37,927	23,104.4	94%
Rivers	Obio-Akpor	7,252	4,021.1	61%
Rivers	Bonny	16,851	8,719.5	42%
Delta	Warri	6,402	3,373.8	47%
Delta	Asaba	28,040	12,351.1	59%
Delta	Ughelli	27,130	11,739.1	42%
Enugu	Enugu North	46,685	19,612.5	54%
Enugu	Nsukka	5,229	2,663.1	86%
Anambra	Onitsha	27,845	13,915.8	77%
Anambra	Awka	43,051	19,705.0	84%
Anambra	Nnewi	19,480	9,428.5	60%
Kwara	Ilorin West	23,596	9,978.2	67%
Kwara	Offa	9,532	4,247.2	86%
Plateau	Jos North	8,422	3,554.8	70%
Plateau	Barkin Ladi	33,704	15,293.5	76%
Benue	Makurdi	14,146	7,143.9	53%
Benue	Gboko	10,383	5,187.9	65%
Edo	Benin City	9,435	4,670.5	54%
Edo	Ekpoma	1,830	862.4	92%
FCT	Abuja Municipal	40,645	19,419.7	42%
FCT	Bwari	15,609	7,111.3	95%
FCT	Gwagwalada	41,253	22,357.0	47%
Sokoto	Sokoto North	4,559	2,771.7	54%
Kebbi	Birnin Kebbi	30,736	14,417.4	90%
Borno	Maiduguri	41,798	20,167.6	59%
Adamawa	Yola North	27,108	11,763.4	46%
Cross River	Calabar Municipal	15,479	8,215.0	56%
Akwa Ibom	Uyo	2,816	1,504.4	64%
Osun	Osogbo	42,573	21,546.6	78%
Ekiti	Ado-Ekiti	33,501	19,368.5	49%

Directors' responsibilities

The Directors are responsible for the preparation of financial statements that give a true and fair view of the state of affairs of the Company, in accordance with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act.

The Directors confirm that suitable accounting policies have been applied consistently, that judgements and estimates made are reasonable and prudent, and that the financial statements have been prepared on a going concern basis.

Corporate governance

The Board comprises seven directors, of whom four are non-executive and two are independent. The Board met five times during the year. The Audit Committee met four times and comprises three non-executive directors, chaired by an independent director with recent and relevant financial experience.

The Company maintains a whistleblowing channel administered by an external provider. Three reports were received during the year, all of which were investigated and closed.